

Federalism

Social Science — Civics • Chapter 2 • Chapter Summary & Study Guide for Daksh

When you live in Pune, you are at once a citizen of India, of Maharashtra, and of your municipal corporation. Three layers of government rule over you, each with their own powers. This system is called **federalism**. This chapter explains what federalism means, why India chose it, how it works in practice, and the recent rise of **local self-government** as the third tier.

What is federalism?

Federalism is a system of government in which power is divided between a central authority and various constituent units of the country. There are two or more levels of government, each level enjoying its own JURISDICTION in specific matters of legislation, taxation and administration.

- Each level of government works directly on the citizens (not through another).
- The Constitution guarantees this division — neither level can change it unilaterally.
- Courts have power to interpret the Constitution and settle disputes between levels.
- Sources of revenue are clearly specified for each level.

Two routes to federalism

- **'Coming together' federations** — independent states pool sovereignty to form a larger union (USA, Switzerland, Australia). All units have equal status.
- **'Holding together' federations** — a large country decides to share power between the central government and the states (India, Spain, Belgium). Some units may have more powers than others.

How federalism works in India

Indian Constitution originally provided two-tier government — Union (centre) and States. A third tier, **local self-government**, was added by the 73rd and 74th Amendments (1992).

Three-fold distribution of legislative powers (Schedule 7):

UNION LIST	: Subjects of national importance. Only Parliament can make laws. e.g. defence, foreign affairs, banking, currency, communications.
STATE LIST	: Subjects of state and local importance. Only State legislatures can make laws. e.g. police, trade, commerce, agriculture, irrigation.
CONCURRENT LIST	: Common interest to both Union and State. Both can make laws (Union law prevails on conflict). e.g. education, forest, marriage, succession, adoption.
RESIDUARY POWERS	: Subjects not in any of the above three. (e.g. computer software) - Union can legislate.

Special features of Indian federalism

- **Asymmetric federalism** — some states (Jammu & Kashmir prior to 2019, NE states) had/have special provisions; Union Territories are governed directly by the Centre.
- Sharing of power among **linguistic states** — states reorganised by language in 1956 — has helped India remain united despite incredible diversity.
- **Three-language formula**: Hindi as official, English continued as 'associate official', state-level recognition for ~22 scheduled languages.

- **Centre-State relations** — financial relations governed by Finance Commission (every 5 years); states share revenue from central taxes.
- Earlier (till 1990s), one-party (Congress) dominance often dictated state policy; **era of coalition politics** from 1990s gave states a stronger voice.

Decentralisation in India — the third tier

When power is taken away from Centre and States and given to local government, it is called **decentralisation**. The principle: a large number of issues are best settled at the local level — and local people know their area best.

73rd Constitutional Amendment (1992) made local government in rural India (Panchayati Raj) constitutional.

74th Amendment (1992) did the same for urban local bodies (Municipalities).

- Three-tier rural structure: **Gram Panchayat** (village), **Mandal/Block Panchayat (Panchayat Samiti)**, **Zilla Parishad** (district).
- Three-tier urban structure: **Municipality / Municipal Corporation**, **Nagar Panchayat**, **Cantonment Board**.
- Seats reserved for **SCs, STs, OBCs and one-third for women** in all local bodies.
- **State Election Commission** conducts these elections.
- **State Finance Commission** assesses financial relations with local bodies.
- Today there are over 36 lakh elected representatives in panchayats and municipalities — the world's largest experiment in democratic decentralisation.

Why federalism succeeds in India

Federalism in India has succeeded because of **linguistic states** reorganisation, **language policy** that respected diversity, and clear demarcation of fiscal and legislative responsibilities. Tensions remain (over rivers, taxes, NE states), but the framework is robust.

★ MUST-REMEMBER POINTS

- Federalism = vertical division of power: Union–State (or +Local).
- 'Coming together' (USA) vs 'Holding together' (India) federations.
- Three lists in Schedule 7: Union, State, Concurrent. Residuary → Centre.
- Linguistic reorganisation of states (1956) was crucial for Indian unity.
- 73rd & 74th Amendments (1992) — Panchayati Raj (rural) and Municipalities (urban).
- Three-tier rural: Gram Panchayat, Block, Zilla Parishad. 1/3 seats reserved for women.
- Finance Commission distributes revenue between Centre and States.

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